



**Before the
FEDERAL TRADE COMMISSION
Washington, D.C. 20552**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

**Advanced Notice of Proposed Rulemaking – Rule Concerning the Use of
Prenotification Negative Option Plans
Project No. P064202**

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On behalf of the Association of National Advertisers (“ANA”), we provide the following comments in response to the Federal Trade Commission’s (“FTC” or “Commission”) Advanced Notice of Proposed Rulemaking (“ANPRM”) on the Rule Concerning the Use of Prenotification Negative Option Plans (“Negative Option Rule” or “Rule”).¹ The ANPRM states that the Commission “seeks comments on ways to improve existing regulatory requirements [for negative option marketing practices], including whether it should use its rulemaking authority under the FTC Act to modernize the Rule.”² Our members understand and support the Commission’s goals of helping ensure that customers understand the terms of negative option features and can cancel products and services using straightforward mechanisms. The ANA already works to implement these priorities, including through the *ANA Ethics Code of Marketing Best Practices* (“Ethics Code”), which establishes industry best practices for consent and cancellation mechanisms for negative option features.³ We appreciate the opportunity to engage with the Commission on ways to promote these priorities while preserving flexible requirements that advance consumer choice and competition.

With a mission to shape the future of marketing, the ANA sets the agenda for the industry, connecting its members to unparalleled expertise, industry-leading resources, and an influential global network. Representing over 1,600 companies—including over 1,000 client-side marketers, 600 marketing solutions providers, and 20,000 brands—ANA members collectively influence \$400 billion in annual marketing spending. By championing the 12-point ANA Growth Agenda and the CMO Growth Council, the ANA drives actionable change, empowers marketers, shapes the marketing ecosystem, and delivers exceptional experiences at every touchpoint. Since 1910, the ANA has been setting the agenda for industry transformation. It enables marketers to advance their ambitions, make better decisions, and create lasting impact for their organizations and the industry.

As the Commission considers potential updates to modernize the Negative Option Rule, we encourage the Commission to avoid unnecessary changes that would hinder innovation and disrupt the free flow of commerce without providing commensurate benefits to consumers. Our comments first describe the numerous benefits that negative option programs provide to consumers and businesses. We next highlight how existing regulations already protect consumers, making a new broad and novel Rule unnecessary. However, should the Commission decide to pursue modifications, we explain that any such changes should be narrowly tailored updates that target identified prevalent harmful, unfair or deceptive market practices. Our comments then detail how specific modifications proposed in the now vacated Negative Option Rule imposed requirements that would have created confusion for businesses and consumers and hindered consumer convenience and choice. Finally, we urge the Commission to work with Congress to ensure consistent consumer protections through a fully preemptive federal framework, which would help ensure that consumers receive the same safeguards with respect to negative option features regardless of where they live.

¹ FTC, Advanced Notice of Proposed Rulemaking on the Rule Concerning the Use of Prenotification Negative Option Plans, 91 Fed. Reg. 12318 (March 13, 2026), located [here](#) [hereinafter, FTC ANPRM].

² *Id.* at 12318.

³ ANA, Ethics Code of Marketing Best Practices 9–11 (April 30, 2025), available [here](#) [hereinafter, ANA Ethics Code].

I. Negative Option Programs Increase Consumer Choice, Lower Consumer Costs, and Enable Increased Innovation

The Commission has requested information about the existing marketplace for negative option features, including the number of businesses that sell such features and costs associated with these programs.⁴ Negative option features have become commonplace in the market, in large part due to the significant benefits these features provide to consumers and businesses alike. These features allow consumers to reliably receive the products and services they desire without the need to continually return to a business to initiate repeated transactions. The added convenience offered by negative option programs has resulted in millions of U.S. consumers enrolling in subscription-based services made available by businesses across virtually all sectors of the U.S. economy. For instance, one report indicates that over 90 percent of U.S. households have enrolled in at least one digital subscription service.⁵ Any changes to the Negative Option Rule should preserve flexibility and support businesses' ability to continue to offer innovative pricing models that enhance consumer choice and convenience.

Consumers greatly benefit from negative option plans, which permit more flexible payment options so that consumers can purchase products for a lower price in exchange for participating in a plan for a predetermined amount of time. Such programs decrease consumer costs while promoting regular and reliable access to the consumer's preferred product or service without requiring the consumer to submit repeated orders. Consumers view such arrangements positively, with one study showing that approximately three out of five consumers prefer accessing online services through a longer-term subscription that is offered at a discount.⁶

Other negative option plans allow consumers to try unfamiliar products or services for a period before deciding whether to commit to a product. One survey found that approximately 70 percent of U.S. consumers benefit from free trials offered by subscription services.⁷ Such options increase consumer convenience while promoting product choice and variety in the marketplace. Moreover, increasing cancellation rates have shown that consumer choice and convenience are not hindered by current market cancellation methods. One report indicates that consumers have successfully discontinued enrollment for products and services they no longer desire at higher rates than ever before, with up to 25 percent of U.S. streaming subscribers cancelling at least three services in two years.⁸ Rising cancellation rates demonstrate that existing regulation of negative option features has struck an effective balance that continues to advance convenience and innovative product options, especially in the online services space and across the broader marketplace, while enabling true consumer choice.

Businesses similarly benefit from negative option plan arrangements because these plans allow businesses to reach new audiences by exposing consumers to new products and services that may be of interest. For instance, businesses can rely upon these features to help build a

⁴ *Id.* at 12322.

⁵ See Digital Content Next, Q2 2025 Digital Subscription Tracking Report (Aug. 7, 2025), available [here](#).

⁶ See Mercury Analytic & Business Software Alliance, U.S. Consumer Research: Subscription Services 7 (March 2026), available [here](#) [*hereinafter*, BSA Survey].

⁷ *Id.* at 16.

⁸ See Wall Street Journal, Americans Are Cancelling More of Their Streaming Services (Jan. 2, 2024), available [here](#).

customer base for new and novel offerings by offering those products at a lower price. These features can also help promote predictability and stability through long-term relationships with consumers that use their products and services. Enhanced predictability allows businesses to automate their processes and more efficiently deliver goods and services to their customers at lower costs. Furthermore, businesses can leverage these predictability and efficiency gains to devote more time and resources to improving their underlying products and services. Overregulation of negative option features could have a detrimental impact on the arrangements that businesses and consumers have grown to rely upon to conveniently conduct business in the modern marketplace. We urge the Commission to preserve these benefits by avoiding unnecessary changes to a rule that already carefully balances clarity and flexibility for businesses with meaningful consumer safeguards.

II. Significant Expansions of the Rule Are Not Necessary and Could Invite Virtually Limitless Liability That Would Discourage the Use of Negative Option Features

The ANPRM asks whether a need exists for changes to the Negative Option Rule, including whether a new Rule should be created or the existing Rule should be amended.⁹ A comprehensive set of federal laws and rules already gives the Commission ample authority to root out bad actors offering negative option features. However, if, after reviewing a thorough record subject to public commentary, the Commission identifies specific gaps in the existing regulatory landscape, amendments to the Rule could be appropriate. Should the Commission choose to issue a new (or amend the existing) Rule, we urge the Commission to pursue targeted amendments that address specific, prevalent unfair or deceptive practices in line with the Commission’s Section 5 and Section 18 authorities.

a. Existing Enforcement Authorities Make an Entirely New Rule Unnecessary

Existing regulations already protect consumers from the conduct that the Commission seeks to regulate, making a new Rule unnecessary. Additionally, numerous authorities are already available to the Commission and other enforcers to protect consumers from unscrupulous business practices relating to negative option plans. Several channel-specific regulations provide transparency and consumer choice requirements that are tailored to the different ways in which consumers interact with businesses.

As one example, the Restore Online Shoppers Confidence Act (“ROSCA”) already covers a wide range of negative option plans offered to consumers online.¹⁰ ROSCA requires businesses to surface certain disclosures and obtain affirmative consent before enrolling a consumer in an online negative option offering.¹¹ Moreover, ROSCA requires that businesses provide consumers with a simple mechanism to stop recurring charges.¹² ROSCA covers a significant number of modern negative option plans, and the Commission has demonstrated that it can successfully safeguard consumers through its ROSCA authority. Even after the Negative Option Rule finalized by the prior Commission was vacated, the current Commission brought

⁹ FTC ANPRM at 12322.

¹⁰ 15 U.S.C. §§ 8401–8405.

¹¹ *Id.* at § 8403.

¹² *Id.*

enforcement actions against providers of online negative option plans that allegedly failed to provide adequate cancellation methods.¹³ Such actions showcase that the Commission has a proven track record of leveraging existing authority to protect consumers by bringing actions against bad actors operating negative option plans.

Several additional federal laws and regulations similarly provide avenues for enforcers to combat unlawful behavior relating to negative option features. The Telemarketing Sales Rule imposes on telemarketers disclosure requirements relating to automatic renewal offers and free trial offers made by telephone.¹⁴ The Postal Reorganization Act (the “Unordered Merchandise Statute”) makes it an unfair method of competition and an unfair trade practice to mail merchandise to a consumer without prior express consent.¹⁵ The FTC and state attorneys general may also bring suits under Section 5 of the FTC Act if businesses engage in unfair or deceptive acts or practices, including for negative option activity that falls outside the current Negative Option Rule.¹⁶ Taken together, these laws and regulations form a robust enforcement regime for negative option features at the federal level.

These federal protections are further bolstered by state laws governing negative option programs and industry self-regulatory programs. Many states regulate conduct relating to negative option features, including through their own state-specific versions of the Negative Option Rule.¹⁷ The Commission has recognized in prior rulemaking proceedings that “states continue to regularly bring cases challenging negative option practices.”¹⁸ Industry provides an additional layer of protection through self-regulatory codes that enumerate best practices for negative option marketing. For example, the Ethics Code outlines business guidelines for obtaining consent and surfacing clear disclosures of material terms and conditions before billing a consumer for participation in a negative option plan, as well as for providing an easy cancellation process after enrollment.¹⁹ ANA enforces the Ethics Code by working with companies to update their practices in line with these best practices and, when such interventions fail, referring noncompliant companies to relevant regulators. In one example reported in the 2025 ANA Ethics Compliance Report, ANA worked with a company to resolve an issue involving shipping and handling charges for a “free gift” invoiced with a one-year subscription, including by permitting the consumer to keep the gift free of charge and suppressing her from receiving further marketing communications.²⁰ These regimes already work in tandem to create strong protections for consumers in the negative option marketplace, making a new Negative Option Rule unnecessary and only likely to complicate the patchwork of regulatory requirements that have emerged in this space.

¹³ See, e.g., FTC, Ed Tech Provider Chegg to Pay \$7.5 Million to Settle FTC Allegations Concerning Unlawful Cancellation Practices (Sept. 15, 2025), available [here](#); FTC, FTC Sues LA Fitness for Making It Difficult for Consumers to Cancel Gym Memberships (Aug. 20, 2025), available [here](#).

¹⁴ 16 C.F.R. § 310.

¹⁵ 39 U.S.C. § 3009.

¹⁶ 15 U.S.C. § 45(a).

¹⁷ See, e.g., Cal. Bus. & Prof. Code § 17602; Va. Code Ann. §§ 59.1-207.45–59.1-207.49.

¹⁸ FTC, Advanced Notice of Proposed Rulemaking Request for Public Comment on the Rule Concerning the Use of Prenotification Negative Option Plans, 84 Fed. Reg. 52393, 52396 (Oct. 2, 2019), available [here](#) [hereinafter, 2019 FTC ANPRM].

¹⁹ ANA Ethics Code at 9–11.

²⁰ ANA, ANA Ethics Compliance Report: January–December 2025, available [here](#).

b. Any Proposed Changes Should Be Narrowly Tailored to Address a Clearly Identified Regulatory Gap

If the Commission decides to update the Rule, we urge the Commission to avoid the administrative deficiencies that plagued the vacated Negative Option Rule by narrowly tailoring such updates and only addressing clearly identified gaps in the existing regulatory landscape for negative option features when those gaps may allow harmful, unfair or deceptive practices to become prevalent. For instance, if the Commission identifies specific industries or channels through which consumers interact with businesses that are not adequately covered, and prevalent harmful practices are identified, narrow updates to address those gaps may be appropriate. However, such changes should address only specific, enumerated, and prevalent unfair or deceptive practices in line with the Commission's Section 18 authority for issuing trade rules.

Moreover, any proposed changes should not extend to business-to-business ("B2B") transactions, as regulating these transactions would not achieve the same consumer protection goals as regulations for direct-to-consumer pricing arrangements. B2B transactions are inherently different. B2B arrangements involve more sophisticated counterparties that are able to assess and negotiate terms of an agreement. Businesses are familiar with these types of auto-renewing payment terms and often benefit from the convenience and predictability that comes with such pricing options. Approximately 76 percent of consumers agree that subscriptions for personal use are different from those used in a professional context.²¹ Expanding consumer-focused regulations to B2B transactions would do little to protect individual consumers while disrupting businesses' ability to freely contract.

Any practice that the Commission intends to regulate should address a clear consumer harm and be clearly identified and supported by a robust record that demonstrates that the unfair or deceptive practice is prevalent. Furthermore, the public should have ample opportunity to weigh in on a proposed change once a specific harmful practice has been identified. A thorough record and opportunity for public comment for any identified gap would help avoid the potential for vague standards that would confuse consumers and businesses alike, and that could be inconsistently applied by future Commissions. The Rule should not extend to prohibitions that are unrelated to the negative option features and that clearly exceed the Commission's Section 18 authority. For example, a vague prohibition on any misrepresentations, such as that included in the vacated Negative Option Rule, would have effectively given the Commission Section 5 civil penalty enforcement authority without the safeguards of a Section 5 or notice that the type of statement was considered a "misrepresentation."

Broad expansions that are not narrowly tailored to a specific practice—supported as being prevalent and unfair or deceptive by a robust public record—would invite unnecessary risk of civil penalty liability. When faced with such uncertain risk, businesses may avoid offering negative option pricing arrangements that benefit consumers, resulting in fewer pricing choices and decreased convenience for consumers. We encourage the Commission to preserve the business and consumer benefits that flow from the current Rule's clear and flexible framework by narrowly targeting any amendments to address clearly identified regulatory gaps.

²¹ BSA Survey at 9.

III. The Commission Should Prioritize Flexible Standards that Help Enhance Consumer Convenience and Choice While Avoiding Prescriptive Requirements that Disincentivize Innovative Models

The ANPRM requests information about “what requirements, if any, from the Vacated Rule are needed to address unlawful negative option practices prevalent in the marketplace.”²² The vacated Rule imposed numerous prescriptive requirements that would have eliminated flexibility, effectively stamping out businesses’ ability to respond to the desires of their customer base and potentially creating consumer confusion and inconvenience. We urge the Commission to reject several of the overly prescriptive requirements included in the vacated Rule and to retain the clear and flexible framework that defines the existing Rule.

a. Separate Consent Should Not Be Required If the Feature Was Already Disclosed

The vacated Rule would have required that a consumer consent to a negative option feature “separately from any other portion of the transaction.”²³ Under this provision, businesses would have needed to request separate consent from a consumer to enroll in a negative option pricing feature, even if the consumer had already consented to that feature when signing up for the underlying product or service, or the offering was available only if the consumer enrolled in a negative option plan. Requiring consumers to give affirmative consent twice would have added unnecessary steps to a process that was intended to create more convenience for consumers. Moreover, this added burden in the consumer process would have come with little to no benefit to the consumer, who would have already been notified of the material terms of the negative option feature when agreeing to the product terms. Instead, this second consent would likely have proven confusing to a consumer who had already consented to the terms of the underlying offer when the consumer was already expecting to be charged automatically under those terms. When confronted with a second consent, the consumer could have interpreted the second consent as an additional charge and failed to consent, resulting in an unintentional loss of services that the consumer wanted to purchase.

The Commission understood the likely negative consequences of separate consent when it previously rejected a separate consent “to the rest of the transaction” in prior rulemakings.²⁴ With respect to this separate consent requirement, the Commission reasoned that it was unnecessary because the Rule already “contained several elements that work together to ensure consumers know they are agreeing to a negative option feature.”²⁵ Despite these statements, the Commission then adopted a requirement that businesses seek consent “separately from any other portion of a transaction” that effectively operated in the same way.²⁶ Not only did this approach deviate from the Commission’s earlier logic but also from approaches taken in state negative option laws. For instance, the California legislature intentionally removed a “separate consent”

²² FTC ANPRM at 12324.

²³ 16 C.F.R. § 425.5(a)(1) (vacated).

²⁴ FTC, Final Rule, Negative Option Rule, 89 Fed. Reg. 90476, 90502 (Nov. 15, 2024), available [here](#) [hereinafter, Final Rule].

²⁵ *Id.*

²⁶ 16 C.F.R. § 425.5(a)(1) (vacated).

requirement that had been proposed in an earlier version of the state’s negative option law.²⁷ The state approach, like the approach in the current Rule, avoids unnecessary duplication that may be confusing to consumers and retains flexibility that allows businesses to update their enrollment processes to meet consumer needs. We encourage the Commission to align with the states and the existing federal framework by eschewing any requirement that a negative option feature be consented to separately from the underlying product or service.

b. *Cancellation Requirements Should Not Be Based on Overly Vague Standards*

Under the vacated Rule, businesses would have been required to offer to consumers a cancellation mechanism that was “at least as easy to use as the mechanism the consumer used to consent to the Negative Option Feature.”²⁸ This standard would have ignored that the sign-up and cancellation processes are inherently different and that, accordingly, consumers may approach such processes differently. For instance, although consumers may prefer a one-click sign-up process that allows them to quickly access a desired product or services, there may be consequences that a consumer would like to consider during cancellation.

An overly vague cancellation standard could act as a back-door prohibition on “Save” offers that equip consumers with valuable information or potential savings during cancellation because surfacing this information would add time to the cancellation process. However, cancellation could have unintended consequences, such as unsubscribing the consumer from bundled services or higher rates after cancellation, that the consumer would have preferred to consider before moving forward with the cancellation. For example, a consumer who has not been informed that cancellation would result in discontinued bundled services may suddenly find themselves unexpectedly cut off from valued products and services, such as their phone number, content stored on the Cloud, security services, or books, videos, and other content previously selected as part of a subscription benefit.

The vague standard in the vacated Rule would have provided businesses no guidance on how to assess “ease” across different user experiences, leaving the Rule open to highly subjective interpretations. The risk of inconsistently enforcing a vague standard would be further compounded if there is no clear standard for the point at which a business should begin measuring consent. A Rule that fails to define this standard could result in widely different outcomes and confusion for consumers. Such an approach provides no rational guidance for a business to design their consent and cancellation processes to conform with the Rule.

If the Commission includes a cancellation mechanism requirement, this standard should be clearly defined to avoid vague requirements that invite subjective interpretations from future regulators or courts. One consumer’s perception of how “easy” a process is may be vastly different than another consumer’s based on their unique, individual experiences. For instance, one consumer that is more familiar with the platform or cancellation medium is likely to find that cancellation method “easier” than a consumer who is less familiar. Unless grounded in objective criteria, such a standard could open the door to future regulators prohibiting essentially any unpreferred mechanism, even if such a mechanism would be “easy to use” for most consumers.

²⁷ See Cal. AB 2863 § 2, 2023-24 Reg. Sess. (as amended in Assembly Mar. 21, 2024), located [here](#).

²⁸ 16 C.F.R. §425.6(b) (vacated).

The threat of practically limitless liability stemming from an ambiguous standard is likely to restrict business use of negative option plans, cutting consumers off from convenient payment options and innovative offerings that would have otherwise been available to them.

We encourage the Commission instead to pursue objective standards that give businesses clear rules of the road when offering negative option features and that will not result in consumer confusion or lost benefits. These standards should be aligned with the ways in which transactions occur in the marketplace and how consumers initiate those transactions. For instance, a cancellation mechanism requirement that is tied to “consent” rather than the initiation of the signup process does not reflect the way transactions occur. Consent may represent only one piece of a more fulsome signup process. Any cancellation standard should be based on the process for initiating a product or service so that there is greater symmetry at the start and end of a customer relationship.²⁹

c. The Rule Should Not Prescriptively Require Cancellation in Specific Mediums

The vacated Rule would have obligated businesses to provide a simple cancellation mechanism in the “same medium the consumer used to consent to the Negative Option Feature.”³⁰ Specifying a particular method for the cancellation method, such as the same medium that the consumer used to consent, would impose unnecessary limits on the choices available to consumers. Overly prescriptive requirements such as this invite unnecessary confusion about whether one online mechanism is equivalent to another. Businesses work closely with consumers and are best positioned to gauge which cancellation methods may add convenience for their customers. Many ANA members leverage this customer knowledge to build multiple convenient cancellation choices that reflect evolving technology changes. For instance, ANA members offer consumers a wide range of cancellation options, such as through phone, desktop, mobile apps, voice, and in-home devices. An unnecessarily rigid standard that specifies the required cancellation method could prevent businesses from offering an array of cancellation methods that are convenient to consumers. In contrast, a more flexible standard could encourage that businesses provide *some* type of online cancellation method that does not actively frustrate consumer cancellation attempts without limiting the types of online methods offered.

We encourage the Commission to take a broader view of what constitutes an acceptable online cancellation method than that in the vacated Rule to preserve flexibility and advance consumer choice. The mechanism that a consumer used to sign up for a product or service may not be the most convenient method to cancel that same product or service after the consumer has established a relationship with the business. As one example, a consumer that initially signed up for a service online may find it significantly more convenient to cancel that service using the business’s mobile app, which became an option available to the consumer only after enrolling in the service. A prescriptive cancellation method could incentivize a business to offer only one type of cancellation because it was the “same medium” as at signup and prevent that business

²⁹ An approach supported by some consumer groups based on public proposals for a new Rule. See CFA Petition page 9. <https://consumerfed.org/wp-content/uploads/2025/12/11.26.25-Petition-for-Renewed-Click-to-Cancel-Rulemaking-CFA-AELP.pdf>

³⁰ 16 C.F.R. § 425.6(c) (vacated).

from offering a more convenient cancellation method—or other methods that it would have otherwise created to incorporate new technologies that were not even available when the consumer signed up for the service. Similarly, prohibiting certain cancellation options, such as chatbots, restricts consumer choice and businesses’ ability to interact with their customers in ways that mirror past interactions. For example, a consumer who has primarily sought customer service assistance through a business’s chatbot function may *prefer* to use a chatbot for cancellation. Requirements for a specific cancellation medium only restrict the options available to consumers and limit businesses’ ability to adapt their processes to reflect changing technologies and consumer preferences. If the Commission decides to pursue requirements for the cancellation medium to ensure that online cancellation options are available to consumers, we encourage the Commission to consider a flexible standard that allows cancellation to be in any interactive electronic medium rather than requiring cancellation to be in the *same* interactive electronic medium used at sign-up.

d. *Amendments Should Not Limit Businesses’ Ability to Surface Crucial Information*

The vacated Rule included multiple provisions that could have prevented businesses from providing consumers with the information they need to make informed decisions. One provision would have required that disclosures “not include any information that interferes with, detracts from, contradicts, or otherwise undermines the ability of consumers to provide their express informed consent to the Negative Option Feature.”³¹ Additionally, the vacated Rule would have included similar prohibitions on disclosures related to “Important Information” and would have prohibited a “Clear and Conspicuous” disclosure from including any information that was “contradicted, mitigated by, or inconsistent with anything else in the communication.”³² Despite including similar restrictions on surfacing additional information several times throughout the vacated Rule, at no point did the vacated Rule include reasonable limits on what may have been considered information that interfered with, detracted from, or was inconsistent with required disclosures. Instead, the vacated Rule established a vague, subjective standard that could have been applied to virtually any disclosure disfavored in the future.

Under a broad interpretation, such prohibitions could have been read to prevent businesses from surfacing alternative pricing offers or information about how cancellation could raise the cost of services. Consumers benefit directly when they can receive information about available offers, including through “Saves” that offer consumers lower rates for continued service. The Commission requested additional information about how “Saves” foster competition in the marketplace and improve outcomes for consumers.³³ More than 80 percent of consumers prefer being informed of the consequences of cancellation, such as loss of content, before a service is cancelled.³⁴ Furthermore, more than three-quarters of U.S. consumers would like to receive information about potential discounts when they begin the cancellation process.³⁵

³¹ *Id.* § 425.5(a)(2) (vacated).

³² *Id.* §§ 425.4(b)(3) (vacated); *id.* § 425.2, “Clear and Conspicuous” (7) (vacated).

³³ FTC ANPRM at 12323.

³⁴ BSA Survey at 19.

³⁵ *Id.*

These “Save” offers allow consumers to fully evaluate their options before proceeding with a purchase or cancellation.

Subjective standards such as those proposed in the vacated Rule could create civil liability risk that disincentivizes businesses from surfacing information about more beneficial pricing structures or the impact that cancellation could have on a consumer’s bundled services. Consumers would be harmed directly when they are no longer able to receive the information they need to fully evaluate their choices with respect to products and services of interest, potentially leading to fewer opportunities to save money and unexpected loss of bundled services. In contrast, an updated Negative Option Rule that avoids such subjective standards and permits businesses to continue to engage in “Save” offers that support robust competition in the marketplace would fully equip consumers with the information needed to make informed decisions and to price shop among competitors. If the Commission were to update the Rule to place limitations on “Save” offers, we encourage the Commission to consider implementing a clear, objective standard such as prohibiting the business from surfacing a “Save” offer with more than two additional pages or steps after the consumer has initiated the cancellation process. This approach would minimize friction during the cancellation process without introducing overly vague standards that could chill businesses’ ability to provide beneficial “Save” offers entirely.

e. *The Rule Should Not Impose Unnecessary Limits on the Placement and Timing of Disclosures*

The vacated Rule would have similarly imposed overly ambiguous requirements on the placement and timing of disclosures for negative option features. First, the vacated Rule would have required that businesses surface “unavoidable” disclosures through an electronic medium.³⁶ Yet without any clear guardrails as to what makes a disclosure “unavoidable,” determining what would constitute an “unavoidable” disclosure would have been entirely a matter of interpretation or first impression for regulators. For example, a business that surfaced a disclosure directly below (rather than above) a call-to-action and that was visible without any scrolling could be in violation under an expansive reading of the requirement, simply because the disclosure happens to appear on a disfavored side of the call-to-action. By leaving room for such broad interpretations, the vacated Rule would have forced businesses to blindly speculate what would be considered “unavoidable.”

The far-reaching implications of such a vague standard are especially unnecessary when clearer, more objective standards are available to the Commission. For instance, other requirements in the vacated Rule already obligated businesses to provide disclosures that were “easily noticeable (*i.e.*, difficult to miss) and easily understandable by ordinary consumers.”³⁷ Additional provisions in the vacated Rule that dictated specific requirements for surfacing visual and audio disclosures would achieve the same result without exposing businesses to inconsistent

³⁶ 16 C.F.R. § 425.2, “Clear and Conspicuous” (4) (vacated).

³⁷ *Id.* § 425.2, “Clear and Conspicuous” (vacated).

enforcement of an overly vague standard.³⁸ Clearer and more objective standards such as these still promote transparency while better aligning with state law models that focus on regulating elements such as contrasting font and color or sufficient speed and volume.³⁹

The “immediately adjacent” disclosures that would have been required under the vacated Rule would also have imposed unnecessary requirements better achieved through alternative standards already in the Rule.⁴⁰ This requirement provided no clear benefit in a Rule that already required that disclosures be “easily noticeable” to ordinary consumers.⁴¹ By requiring that substantial disclosures be immediately adjacent to a particular feature, the vacated Rule invited the opportunity for friction and consumer confusion, especially if consumers had already encountered similar disclosures in another prominent location that was less “adjacent” to the consent mechanism. Moreover, depending on the length of the disclosure, it may be impossible for a business to include all material terms “immediately adjacent” to a consent mechanism. A robust disclosure with multiple important terms inevitably cannot surface each statement “immediately adjacent” to the consent mechanism, leaving businesses to guess which disclosures should be displayed closest to the mechanism. Ambiguous standards that leave room for subjective interpretation should not be included in any updates to the Rule, particularly if such standards serve a similar purpose as another clearer standard. We urge the Commission to prioritize objective standards with apparent consumer benefit, rather than vague requirements that are more likely to generate confusion and inconvenience for businesses and consumers alike.

f. The Commission Should Consider Clarifications That Would Promote Flexibility

As the Commission assesses provisions that were included in the vacated Rule, it should also consider implementing new clarifications that would support greater flexibility and consumer convenience. The vacated Rule connected disclosure requirements to a business’s collection of consumer billing information.⁴² However, many businesses provide negative option offers for new products and services to their existing customers. When an existing customer signs up for a new product or service, the business likely already has that customer’s billing information stored. Businesses should not need to obtain a consumer’s billing information again if the business already has that information on file. Requiring the business to recollect this information would add friction to the customer experience and reduce the consumer convenience benefits that negative option features seek to promote. Any amendments relating to when businesses should surface disclosures during the enrollment process should allow businesses to present important information either before obtaining billing information *or* before seeking agreement from a customer to use billing information already on file. This approach

³⁸ See, e.g., § 425.2 “Clear and Conspicuous” (2), (3) (vacated) (requiring that a visual disclosure “stand out from any accompanying text” and that an audio disclosure “be delivered in volume, speed, and cadence sufficient for ordinary consumers to easily hear and understand it”).

³⁹ See, e.g., Colo. Rev. Stat. § 6-1-732(c); Va. Code Ann. § 59.1-207.45.

⁴⁰ 16 C.F.R. § 425.4(b)(2)(i) (vacated).

⁴¹ *Id.* § 425.2, “Clear and Conspicuous” (vacated).

⁴² *Id.* § 425.4(a) (vacated).

would better reflect the way many consumers interact with businesses when there is an ongoing customer relationship and increase convenience for existing customers.

IV. Preemptive Federal Standards Relating to Negative Option Features Would Promote Consistency

The ANPRM asks whether existing federal, state, or local laws and regulations overlap with the Rule and, if so, whether any Rule amendment should address overlaps or conflicts.⁴³ Companies that offer negative option plans are subject to a complex patchwork of federal and state regulations that govern these features, including ROSCA, the Telemarketing Sales Rule, the Unordered Merchandise Statute, the FTC Act, and numerous state-level equivalents. Each of these statutes targets specific activities and channels of communication in the negative option space, creating a complicated regulatory landscape for businesses and consumers to navigate. We support an approach that would better harmonize the thicket of regulations currently governing negative option plans, including through targeted updates that address demonstrated regulatory gaps, and through a preemptive federal law.

As the Commission proceeds through the rulemaking process, we encourage you to work with Congress to ensure consistent consumer protections through a fully preemptive standard. Full federal preemption is a critical part of promoting consistency for negative option regulation. Without full federal preemption, states could continue to add to this complex patchwork of laws, leaving businesses with growing compliance costs and uncertainty when designing enrollment and cancellation processes for such features. However, a fully preemptive federal standard would promote consistency and provide businesses with clear “rules of the road” when implementing negative option plans, which, in today’s world, naturally travel across state lines for fulfillment. Small and mid-sized businesses currently face outsized compliance costs compared to larger counterparts with dedicated compliance teams and additional resources to devote to navigating complex regulatory requirements. The increasingly complex regulatory thicket for negative option features disincentivizes smaller businesses from offering such programs, effectively cutting these businesses off from flexible pricing options that could help them better reach consumers and offer more competitive pricing. A fully preemptive framework would give smaller businesses clearer guidance that would help minimize compliance burdens and allow these companies to compete more efficiently with larger competitors.

Consumers would similarly benefit from a uniform preemptive standard, which would help ensure that customers can expect the same disclosures and consent options, regardless of the individual’s state of residence. By targeting any amendments to identified gaps in federal law and urging Congress to preempt state laws, the Commission could help create a system that better promotes competition and consumer convenience across the nation. Such an approach would permit the Commission to focus its resources on curbing unscrupulous behavior in areas where a robust public record has demonstrated clear unfair or deceptive practices. Moreover, a preemptive approach would help ensure that the standards advanced at the federal level are

⁴³ FTC ANPRM at 12324.

applied consistently without the potential for future state action to muddy the clear and workable federal framework.

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Thank you for the opportunity to submit comments on these important topics. Please do not hesitate to contact us with any questions regarding this submission.